A BILL

i n t i t u l e d

An Act to amend the Factories and Machinery Act 1967.

ENACTED by the Parliament of Malaysia as follows:

Short title and commencement

1. (1) This Act may be cited as the Factories and Machinery (Amendment) Act 2006.

(2) This Act comes into operation on a date to be appointed by the Minister by notification in the *Gazette*.

Amendment of section 2

2. The Factories and Machinery Act 1967 *[Act 139],* which is referred to as the "principal Act" in this Act, is amended in section 2 —

(a) in subparagraph (l)(ix), by substituting for the words "five thousand cubic feet" the words "one hundred and forty cubic metres"; and

(b) by inserting after subsection (2) the following subsections:

"(3) Any pipeline used for transporting dangerous substances which may cause fire, explosion or adverse health effects to any person (other than petroleum or petroleum products) which is used in connection with and for the purposes of a factory, shall be deemed to be part of the factory.

(4) For the purpose of subsection (3), "pipelines" means the physical facilities or any part of the physical facilities through which dangerous substances which may cause fire, explosion or adverse health effects to any person (other than petroleum or petroleum products) in the form of liquid or vapour or any combination of liquid or vapour are transported, and includes pipes, pumps, compressors, meters, regulators and fabricated assemblies.".

Amendment of section 3

3. Section 3 of the principal Act is amended—

(a) by inserting before the definition of "article" the following definitions:

' "amusement device" means any contrivance or a combination of contrivances, or rides, equipment or plant or any other similar device which are designed or intended to entertain or amuse people and which can be installed repeatedly without loss of substance, whether temporarily or permanently, at fairs, amusement parks or other locations;

"amusement park" means a tract or area used principally as a location for amusement devices and structures;';

(b) by inserting after the definition of "engineer" the following definition:

"fair" means an enterprise principally devoted to the exhibition of products of agriculture or industry and at or in connection with which amusement devices and temporary structures are provided;';

(c) by inserting after the definition of "fence" the following definition:

' "fired pressure vessel" means an enclosed vessel under pressure greater than atmospheric pressure which is subjected to direct firing, but does not include a steam boiler;';

(d) in the definition of "hoist", by inserting a comma after the word "carnage";

(e) by substituting for the definition of "hoisting machine" the following definition:

' "hoisting machine" means any equipment for lifting, raising or lowering load such as a lift, escalator, hoist, crane, winch, dragline, piling machine, aerial cableway, funicular railway, access platform, dumbwaiter, vertical conveyor lifter and mechanical loading ramp, and includes transporter, walkalator and other similar equipment, but does not include manual hoist and materials handling equipment;';

if) by inserting after the definition of "Inspector" the following definition:

* "licensed person" means any person licensed under section 7D of the Act;';

(g) in the definition of "machinery" —

(i) by inserting after the words "unfired pressure vessels," the words "fired pressure vessels, pipelines,";

(ii) by inserting after the words "driven machinery," the words "materials handling equipment, amusement device or any other similar machinery";

(iii) by inserting after the word "casting," the word "cutting,"; and

(iv) by substituting for the word "metals" wherever it appears the word "materials";

(h) by inserting after the definition of "maintain" the following definitions:

"manufacturing or commercial secret" means highly sensitive information relating to —

(a) any manufacturing process;

(b) any product, raw material, by-product formulation;

(c) any idea of duplication or cloning of product; or

(d) any technical information on operating system,

and that the information has been declared as manufacturing or commercial secret in writing by the occupier or owner;

"materials handling equipment" means any power-driven equipment for handling materials, and includes forklift, conveyor, stacker, excavator, tractor, dumper or bulldozer but does not include hoisting machine;';

(i) by inserting after the definition of "Panel" the following definitions:

' "petroleum" means any mineral oil or relative hydrocarbon and natural gas existing in its natural condition and casinghead petroleum spirit, and includes—

(a) bituminous shales and other stratified deposits from which oil can be extracted; and

(b) petroleum products;

"petroleum products" means material derived from petroleum, natural gas or asphalt deposits, and includes gasoline, kerosene, diesel fuel, fuel oil, lubricating oil, liquefied petroleum gas, wax, grease, butane, benzene, propane and any like flammable and combustible liquids;';

(j) by inserting after the definition of "serious bodily injury" the following definition:

' "special scheme of inspection" means an inspection system approved by the Chief Inspector pertaining to periodical inspections for certain classes of machinery and its auxiliary;'; and

(k) by substituting for the definition of "work of engineering construction" the following definition:

' "work of engineering construction" means the construction, extension, installation, repair, maintenance,

renewal, removal, renovation, alteration, dismantling, or demolition of—

(a) any erection, edifice, structure, caisson, mast, tower, pylon, wall, fence or chimney, whether constructed wholly or partly above or below ground level;

(b) any road works, dock, harbour works, railway, siding, cableway, tramway line, inland navigation, air field or aerodrome;

(c) any drainage, sewer, sewage works, irrigation, river control works, sea defence work or earth retaining structure;

(d) any electrical, mechanical, water, gas, petrochemical or telecommunication works; or

(e) any bridge, viaduct, dam, reservoir, lagoon, earthworks, pipeline, sewer, aqueduct, culvert, drive, shaft, tunnel or reclamation works,

and includes —

(aa) any formwork, falsework, scaffold or any works which form an integral part of, or are preparatory to or temporary to, the works described in paragraphs *(a)* to *(e)*\

(bb) site clearance, soil investigation and improvement, earth-moving, excavation, laying of foundation, site restoration and landscaping; and

(cc) such other works as may be specified by the Minister.'.

Amendment of section 5

4. Section 5 of the principal Act is amended by inserting after subsection (2) the following subsections:

"(3) The Chief Inspector may in writing delegate any of the functions, powers or duties assigned to him under this Act to any Deputy Chief Inspector, Senior Inspector or Inspector, subject to such terms and conditions as he thinks fit.

(4) A delegation under this section shall not preclude the Chief Inspector himself from performing or exercising at any time any of the functions, powers or duties so delegated.".

Amendment of section 6

5. Section 6 of the principal Act is amended—

(a) by renumbering the existing section as subsection (1) of that section; and

(b) by inserting after subsection (1) the following subsection:

"(2) A licensed person, all his servants and agents and other persons employed by him shall, while discharging their duties as a licensed person and such servants, agents and employees, be deemed to be public servants within the meaning of the Penal Code.".

New sections 7A, 7B, 7C, **7D,** 7E **and** 7F

6. The principal Act is amended by inserting after section 7 the following sections;

"Entry into premises with a search warrant and the power of seizure

7A, (1) Where information is given on oath to a magistrate that there is reasonable cause for suspecting that there is in a factory or premises any article, thing, book, document, plant, substance, installation or part thereof which has been used to commit or is intended to be used to commit an offence under this Act or regulation made thereunder, he shall issue a warrant under his hand by virtue of which an Inspector named or referred to in the warrant may enter the factory or premises at any reasonable time by day or night, and search for and seize or seal the article, thing, book, document, plant, substance, installation or part thereof.

Entry into premises without a search warrant and the power of seizure

7B. Where an Inspector is satisfied upon information received that he has reasonable grounds for believing that, by reason of delay in obtaining a search warrant, any article, thing, book, document, plant, substance, installation or part thereof in a factory or premises which has been used to commit or is intended to be used to commit an offence under this Act or any regulation made thereunder is likely to be removed or destroyed, he may enter the factory or premises without a warrant and seize or seal the article, thing, book, document, plant, substance, installation or part thereof found therein.

Service of list of things seized

7c. The Inspector seizing any article, thing, book, document, plant, substance, installation or part thereof under section 7A or 7B shall prepare a list of things seized and forthwith, deliver a copy of the list signed by him to the occupier, or his agent or servant present in the premises, and if the premises are unoccupied or if the occupier, or his agent or servant is absent the Inspector shall, wherever possible, post a list of the things seized on the premises and make a police report thereafter.

Appointment, powers and duties of a licensed person

7D. (1) Notwithstanding any other provisions of this Act, the Minister shall have the power to grant a licence on such conditions as he may think fit to any person to perform any of the functions specified in this Act as the functions of a licensed person as it appears to him to be necessary.

(2) The Minister may, make an order for the purpose of subsection (1) and in particular but without prejudice to the generality of the foregoing, such order may —

(a) prescribe the qualification and standards of competency of persons to be employed by a licensed person;

(b) prescribe the powers of a person employed by a licensed person to carry out the functions of a licensed person;

(c) prescribe the records to be kept by a licensed person;

(d) prescribe the returns to be submitted by a licensed person to the Chief Inspector at certain intervals;

(e) regulate the inspection by the Chief Inspector of the premises of a licensed person and the records kept thereat;

(f) prescribe inspection standards for a licensed person to comply with; and

(g) prescribe the functions or duties to be carried out by a licensed person.

(3) The Minister may, by order published in the *Gazette,* authorize a licensed person to demand, prescribe, collect and retain charges, fees and levy in respect of the services provided by the licensed person.

(4) An order made under subsection (3) shall specify —

(a) the type of services in respect of which charges, fees or levy may be demanded, collected and retained; and

(b) the duration of the authorization to demand, collect and retain the charges, fees or levy.

(5) A licensed person authorized under subsection (3) shall-

(a) maintain such account, books and records in respect of the payment and collection of charges, fees or levy as the Chief Inspector may require;

(b) furnish to the Chief Inspector such information, returns and accounts in respect of the payment and collection of charges, fees or levy as the Chief Inspector may require; and

(c) permit the Chief Inspector or any other person authorized in writing by the Chief Inspector to have access to or examine or inspect any document, machinery or equipment maintained or used for the payment or collection of charges, fees or levy.

(6) The authorization of a licensed person under subsection (3) shall not render the Federal Government liable to any person in respect of any injury, damage or loss occasioned by the failure of the licensed person to carry out his obligations under this Act in respect of which charges, fees or levy are demanded, collected and retained.

(7) If a licensed person contravenes any condition of the licence or any of the provisions of any order made under this section or any of the provisions of subsection (5) with which he is required to comply he shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding one hundred thousand ringgit or to imprisonment for a term not exceeding two years or to both,

(8) Notwithstanding the licensing of a person under this section, the Minister may give directions to the Chief Inspector to exercise any of the functions which under the terms of the licence are to be carried out by such person.

Revocation of licence

7E. (1) If the Chief Inspector is satisfied that a licensed person has breached any condition of the licence, the Chief Inspector may give a notice in writing to the licensed person requiring him to comply with the condition which he has breached and take all measures stipulated therein within the period stated in the notice.

(2) If by the time the period stipulated in the notice expires the licensed person has failed to comply with the notice, the Chief Inspector shall present a report to the Minister on such failure.

(3) If, after considering the report from the Chief Inspector, the Minister is satisfied that the breach is serious in nature or affects or may affect the safety and health of workers or members of the public and that the licensed person has failed or refused to take or has not taken all measures stipulated in the notice for the purpose of ensuring compliance with the condition which the licensed person has breached, the Minister

may give the licensed person a notice stating that he proposes to revoke the licence given to such person and the notice shall also state —

(a) the breach alleged against the licensed person and the actions or omissions that constitute the breach; and

(b) the period (which must not be less than thirty days from the date of the notice) within which the licensed person may make representations pertaining to the revocation.

(4) After the expiry of the period stated in the notice and after considering any representations made by the licensed person, the Minister may decide whether to continue with the proposed revocation or take no further action.

(5) Notice shall be given to the licensed person by the Minister informing him of the decision where the Minister decides to revoke the licence or take no further action, and the decision shall come into force on the date the notice is delivered to the licensed person.

(6) The decision of the Minister under this section is final.

(7) Notwithstanding the revocation of the licence, the validity of any certificate of fitness issued by the licensed person shall continue to be valid until the expiry date thereof and the licenced person shall continue to assume any obligation, duty and responsibility imposed by or in connection with the issuance of the certificate of fitness.

Granting of new licence upon revocation

7F. (1) Upon the revocation under section 7E of a licence granted to the licensed person, the Minister may, after consulting the Chief Inspector, appoint another person to carry out, discharge, assume or perform any of the functions, obligations, duties, responsibilities and conditions conferred or imposed by the revoked licence, and to receive any payments, benefits or privileges which the person whose licence is revoked is entitled to receive or enjoy under the terms and conditions of the licence.

(2) The person whose licence is revoked and his agents or employees shall render all necessary assistance and cooperation to the person appointed by the Minister under subsection

Amendment of section 8

7. The principal Act is amended by substituting for section 8 the following section:

"Obstruction an offence

8. Any person who —

(a) refuses to allow or wilfully delays or obstructs an Inspector or a licensed person from entering a factory in the exercise of any power under this Act;

(b) fails to comply with any notice, other than a notice given under subsection 39(3) or 40(4), lawfully given by a licensed person in the exercise of any power under this Act;

(c) wilfully withholds any information as to who is the occupier or owner of any factory or machinery or conceals or prevents a person from appearing before or being examined by an Inspector or a licensed person, or in any manner obstructs an Inspector or licensed person;

(d) conceals the location or existence of any other person or any plant or substance from an Inspector or a licensed person;

(e) prevents or attempts to prevent any person from assisting an Inspector or a licensed person;

if) in any other way, hinders, impedes or opposes an Inspector or a licensed person in the exercise of his power under the Act or any regulations made thereunder; or

(g) fails to comply with any order lawfully given by an Inspector or a licensed person in the exercise of any power under this Act,

shall be guilty of an offence and shall on conviction be liable to a fine not exceeding two hundred thousand ringgit or to imprisonment for a term not exceeding five years or to both.".

Amendment of section 9

8. The principal Act is amended by substituting for section 9 the following section:

"Confidentiality of information

9. (1) Except for the purpose of this Act or for the purpose of any civil or criminal proceedings under this Act or any other written law, no person appointed under section 4 or licensed person and employees of the licensed person shall disclose any manufacturing or commercial secret which may at any time come to his knowledge or has been obtained by him in the course of his duties under this Act.

(2) Any person who contravenes subsection (1) shall be guilty of an offence and shall on conviction be liable to a fine not exceeding one hundred thousand ringgit or to imprisonment for a term not exceeding two years or to both.".

Amendment of section 19

9. Section 19 of the principal Act is amended by inserting after subsection (3) the following subsections:

"(4) A certificate of fitness in respect of any machinery which is being dismantled or repaired or is damaged for any reason shall terminate upon such dismantlement, repair or damage, but the Chief Inspector may exempt any machinery from the application of this subsection if in his opinion the machinery will not cause any danger to any person or property.

(5) For the purpose of subsection (4) —

"damage" means any physical defect caused to any machinery during operation or otherwise which may affect the strength and integrity of the machinery during subsequent operation;

"dismantle" means to undo any part of any machinery which may affect the strength, integrity or functional capability of that machinery;

"repair" means any work done to make good any part of any machinery which has been damaged.

(6) Any person who contravenes subsection (1) shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding one hundred and fifty thousand ringgit or to imprisonment for a term not exceeding three years or to both.".

New section 19A

10. The principal Act is amended by inserting after section 19 the following section:

"Power to revoke certificate of fitness obtained by way of fraud or misrepresentation

19A. (1) The Chief Inspector shall revoke or terminate a certificate of fitness if he is satisfied that the certificate of fitness has been obtained by way of fraud or misrepresentation.

(2) Any person who is aggrieved by the decision of the Chief Inspector under subsection (1) may, within fourteen days from the date of such decision being notified to him, appeal to the Minister by way of writing.

(3) The decision of the Minister under this subsection shall be final.".

Amendment of section 22

11. Paragraph *22(l)(b)* of the principal Act is amended by substituting for the word "feet" wherever it appears the word "metre".

New section 29A

12. The principal Act is amended by inserting after section 29 the following section:

"Machinery not to be manufactured, *etc.*, without written authority

29A. NO person shall manufacture, fabricate, test, install, maintain, dismantle or repair any machinery which is prescribed unless he has a written authority issued by the Chief Inspector.".

Amendment of section 31

13. Section 31 of the principal Act is amended—

(a) by deleting the word "either";

(b) by inserting after paragraph *(a)* the following paragraph:

"(aa) causes serious bodily injury to any person;";

(c) in paragraph *(b),* by substituting for the words "four days" the words "three clear days excluding the day of the accident;"; and

(d) by substituting for the words "to the nearest Inspector" the words "to the Inspector having jurisdiction for the area in which the accident or dangerous occurrence has taken place.".

Amendment of section 32

14. Section 32 of the principal Act is amended in the shoulder note by substituting for the word "industrial" the word "occupational".

Amendment of section 33

15. Section 33 of the principal Act is amended —

(a) in subsection (1), by substituting for the words "section 31" the words "paragraphs *3\(a), (aa)* and *(c)* and may make a preliminary investigation of the circumstances of any accident that causes bodily injury as described in paragraph *3l(b)";*

(b) in paragraphs *(2)(a)* and *(c),* by substituting for the word "industrial" the word "occupational"; and

(c) in subsection (4) —

(i) in paragraph *(a),* by substituting for the word "Senior" the word "Chief; and

(ii) in paragraph *(b),* by substituting for the words "may be prescribed" the words "the Minister may determine".

Amendment of section 36

16. The principal Act is amended by substituting for section 36 the following section:

"Installation of machinery, *etc,*

36. (1) No person shall install or caused to be installed —

(a) any machinery in any factory; or

(b) any machinery in respect of which a certificate of fitness is prescribed,

except with the written approval of the Inspector.

(2) For the purpose of obtaining the approval referred to in subsection (1) there shall be submitted to the Inspector such particulars as may be prescribed.

(3) When any machinery in respect of which a certificate of fitness is prescribed has been installed, a written notice shall be served by the occupier or owner of the factory on—

(a) the Inspector, who may as soon as conveniently may be, make an inspection of the machinery; or

(b) a licensed person where applicable, who shall within one month from the date of receipt of the written notice make an inspection of the machinery.

(4) If, upon inspection, the Inspector or the licensed person finds that the machinery —

(a) complies with the requirements under this Act, the Inspector or the licensed person shall issue upon payment of the prescribed fee a certificate of fitness

in the prescribed form specifying that the machinery has passed the inspection on the date of the inspection; or

(b) does not comply with the requirements, the occupier or owner of the factory shall pay to the Government or the licensed person such payments as may be prescribed for the services rendered despite the non-issuance of a certificate of fitness.

(5) Where a certificate of fitness is refused, the Inspector or the licensed person shall specify the grounds for such refusal.

(6) A person aggrieved by the refusal of the Inspector or the licensed person to issue a certificate of fitness may appeal to the Chief Inspector, and on such appeal, the Chief Inspector shall cause a re-inspection to be carried out at the expense of the aggrieved person and after the re-inspection may cause to be issued or refuse to issue a certificate of fitness.

(7) The decision of the Chief Inspector under subsection (6) shall be final.

(8) The licensed person shall employ only a person with the prescribed qualification and competency to carry out the inspection and to issue a certificate of fitness under this section.".

Amendment of section 37

17. Section 37 of the principal Act is amended—

(a) by renumbering the existing section as subsection (1) of that section;

(b) by inserting after the word "Inspector" the words "and licensed person"; and

(c) by inserting after subsection (1) the following subsection:

"(2) Any person who contravenes subsection (1) shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding fifty thousand ringgit or to imprisonment for a term not exceeding one year or to both.".

Amendment of section 38

18. Section 38 of the principal Act is amended—

(a) in subsection (2), by inserting after the word "Inspector" wherever it appears the words "or licensed person"; and

(b) by inserting after subsection (3) the following subsection:

"(4) The licensed person shall only have access to information in the general register and any other register or record or certificate kept in pursuance of this Act pertaining to machinery in respect of which a certificate of fitness is prescribed.".

Amendment of section 40

19. Section 40 of the principal Act is amended —

(a) by substituting for subsection (1) the following subsection:

"(1) All factories and machinery in respect of which a certificate of fitness is not prescribed shall be inspected by an Inspector at such periods and in such manner as may be prescribed.";

(b) by inserting after subsection (1) the following subsection:

"(1A) All machinery in respect of which a certificate of fitness is prescribed shall be inspected by an Inspector or a licensed person at such periods and in such manner as may be prescribed.";

(c) in subsection (2), by substituting for the words "Every occupier of a factory" the words "The occupier of every factory and the owner or person having possession of any machinery";

(d) by inserting after subsection (2) the following subsection:

"(2A) For the purpose of subsection (1A), the occupier of every factory and the owner or person having possession of any machinery in respect of which a certificate of fitness is prescribed shall afford to an Inspector or a licensed person all reasonable facilities for inspection and testing and all information as may reasonably be required in connection with the inspection."; and

(e) by inserting after subsection (4) the following subsections:

"(5) Any factory owner or occupier may apply to the Chief Inspector for approval for a special scheme of inspection.

(6) The Chief Inspector may approve the application under subsection (5) if he is satisfied that the prescribed requirements in respect of the machinery in question in relation to the special scheme of inspection have been fulfilled.

(7) Upon the approval under subsection (6), the inspection of the machinery shall be conducted according to the special scheme of inspection.

(8) Any person who contravenes subsection 40(3) shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding two hundred and fifty thousand ringgit or to imprisonment for a term not exceeding five years or to both.".

Amendment of section 41

20. Section 41 of the principal Act is amended—

(a) in subsection (1)~

(i) by inserting after the words "by an Inspector" the words "or any decision made by a licensed person";

(ii) by inserting after the words "of such order" the words "or decision"; and

(iii) by inserting after the words "vary the order" the words "or decision"; and

(b) in subsection (4) —

(i) by substituting for paragraph *(a)* the following paragraph:

"(a) The Minister shall appoint a Board of Appeal for the purpose of considering any appeal made under this section.";

(ii) in paragraph *(b),* by substituting for the words "nominated by him as Chairman and two members selected from the panel appointed under paragraph *(a)"* the words "as the Chairman and two members nominated by the Minister, who in his opinion, have wide experience and knowledge in matters relating to the subject matter of the appeal";

(iii) by inserting after paragraph *(d)* the following paragraph:

"(da) The decision of the Board of Appeal shall be final and shall not be questioned in any court."; and

(iv) by substituting for paragraph *(e)* the following paragraph:

"(e) Every member of the Board of Appeal may be paid an allowance at such rates as the Minister may determine.".

Amendment of section 44

21. Section 44 of the principal Act is amended in subsections (1) and (2) by inserting after the words "an Inspector" the words "and a licensed person".

New section 47A

22. The principal Act is amended by inserting after section 47 the following section:

"Protection against personal liability

47A. Subject to the provisions of this Act and any regulations made under this Act, no Inspector or licensed person shall be personally liable for any loss or damage caused by his act or omission in carrying out the duties under this Act or any regulations made under this Act, unless the loss or damage was caused intentionally or through recklessness or negligence on the part of the Inspector or licensed person.".

Amendment of section 48

23. Section 48 of the principal Act is amended—

(a) by renumbering the existing section as subsection (1) of that section; and

(b) by inserting after subsection (1) the following subsections:

"(2) Any fees payable and due to the Government under this Act shall be a debt due to and recoverable by the Government.

(3) Any fees payable and due to a licensed person under this Act shall be a debt due to and recoverable by the licensed person.".

Amendment of section 51

24. Section 51 of the principal Act is amended —

(a) by substituting for subsection (1) the following subsection:

"(1) Any person who contravenes section 31, subsections 34(1), 36(1), 38(1) and 39(1), shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding one hundred thousand ringgit or to imprisonment for a term not exceeding two years or to both.";

(b) in subsection (2) —

(i) by inserting after the word "Act" the words "or any regulation made under this Act";

(ii) by substituting for the word "two" the word "fifty"; and

(iii) by inserting after the word "ringgit" the words "or to imprisonment for a term not exceeding one year or to both.";

(c) in subsection (3), by substituting for the words "one hundred" the words "two thousand"; and

(d) by inserting after subsection (3) the following subsection:

"(4) Any person who without reasonable excuse fails to comply with any written order or notice issued under subsection 39(3) or 40(4) shall be guilty of an offence and shall on conviction be liable to a fine not exceeding two hundred and fifty thousand ringgit or to imprisonment for a term not exceeding five years or to both and to a further fine not exceeding two thousand ringgit for each day or part of a day during which the offence continues after the first day in respect of which the conviction is recorded.".

New section 51A

25. The principal Act is amended by inserting after section 51 the following section:

"Jurisdiction to try offences

51A. Notwithstanding any written law to the contrary, a Court of a First Class Magistrate shall have jurisdiction to try any offence under this Act and to impose the full punishment for any such offence.".

Amendment of section 52

26. The principal Act is amended by substituting for section 52 the following section:

"Institution of prosecution

52. No prosecution in respect of any offence under this Act shall be instituted except by or with the written consent of the Public Prosecutor.".

Amendment of section 52A

27. The principal Act is amended by substituting for section 52A the following section:

"Power to compound offences

52A. (1) The Chief Inspector or any Deputy Chief Inspector or any Senior Inspector appointed under subsection 4(1) may,

with the consent in writing of the Public Prosecutor, compound any offence committed by any person which is punishable under this Act or any regulations made under this Act.

(2) The Chief Inspector or any Deputy Chief Inspector or any Senior Inspector may, in a case where he deems it fit and proper so to do, compound an offence by making a written offer to the person who has committed the offence to compound the offence on the payment to the Chief Inspector or the Deputy Chief Inspector or the Senior Inspector, as the case may be, within such time as may be specified in the offer, of such sum of money as may be specified in the offer, which shall not exceed fifty per centum of the amount of the maximum fine (including the daily fine, if any, in the case of a continuing offence) to which the person would have been liable if he had been convicted of the offence.

(3) An offer under subsection (2) may be made at any time after the offence has been committed, but before any prosecution is instituted, and where the amount specified in the offer is not paid within the time specified in the offer, or within such extended period as the Chief Inspector or the Deputy Chief Inspector or the Senior Inspector may grant, prosecution for the offence may be instituted at any time thereafter against the person to whom the offer was made.

(4) Where an offence has been compounded under subsection (2) no prosecution shall thereafter be instituted in respect of the offence against the person to whom the offer to compound was made.

(5) Any money paid to the Chief Inspector or a Deputy Chief Inspector or a Senior Inspector under subsection (2) shall be paid into and form part of the Federal Consolidated Fund.".

Amendment of section 55

28. Section 55 of the principal Act is amended in subsection (2) —

(a) in subparagraph *(a)(ii)*, by inserting after the words "steam receivers" the words ", fired pressure vessels, unfired pressure vessels"; and

(b) by deleting paragraph *(b)*.

Amendment of section 56

29. Subsection 56(1) of the principal Act is amended—

(a) in paragraph *(a),* by inserting after the words "section 4" the words "and the duties of a licensed person;";

(b) by inserting after paragraph *(c)* the following paragraph:

"(ca) prescribe the standard of cleanliness and permissible exposure limit to be observed and the means of removal of or controlling injurious and offensive physical, biological or chemical hazards arising from certain processes in factories, or classes or descriptions of factories and the special measures to be taken which may include employee exposure monitoring, to protect the health of persons employed in the factories;";

(c) by substituting for paragraph *(g)* the following paragraph:

"(g) prescribe the times at which and the manner in which certain classes of machinery shall be inspected and to empower the Chief Inspector to stipulate the times at which and manner in which factories and machinery shall be inspected, the notice, if any, to be given in relation to such inspections and the preparations to be made for such inspections;";

(d) by inserting after paragraph *(g)* the following paragraph:

"(ga) prescribe the requirements, procedure and processing fees in respect of the approval of a special scheme of inspection;";

(e) by substituting for paragraph *(h)* the following paragraph:

"(h) prescribe the qualifications to be possessed by, the procedure for the registration of, the renewal of registration and deregistration of, the duties of and processing fees to be paid by and the register to be maintained by —

(i) any person before they may be placed in charge of or entrusted with the care or management of or operating any specified machinery;

(ii) any person manufacturing, fabricating, installing, testing, inspecting, maintaining, dismantling, or repairing any specified machinery as required under section 29A;

(iii) any person carrying out environmental monitoring including noise monitoring and audiometric testing; and

(iv) any person carrying out inspection, testing and examination of control equipment;";

(f) by inserting after paragraph *(j)* the following paragraph:

"*(ja)* prescribe the requirement, procedure, and processing fees in respect of approval of any equipment for environment monitoring including noise monitoring, audiometric testing equipment and facilities, personal protective equipment or laboratory for analysis;"; and

(g) by inserting after paragraph *(k)* the following paragraphs:

"*(ka)* prescribe the qualification and standard of competency of employees of a licensed person under subsection 36(8); and

(kb) prescribe any terms, conditions or fees for any person to obtain any licence to manufacture, fabricate, install, import, supply, inspect or maintain and dismantle boilers, unfired pressure vessels and hoisting machines from the Chief Inspector.".

Amendment of Third Schedule

30. The Third Schedule of the principal Act is amended in the title by substituting for the word "INDUSTRIAL" the word "OCCUPATIONAL".

EXPLANATORY STATEMENT This Bill seeks to amend the Factories and Machinery Act 1967 ("Act 139").

2. Clause J contains the short title and the power of the Minister to appoint the commencement date of the proposed Act,

3. *Clause 2* seeks to amend section 2 of Act 139 to include pipelines in the definition of factory.

4. *Clause 3* seeks to amend section 3 of Act 139 to include pipelines, fired pressure vessels, materials handling equipment, amusement devices and equipment for the cutting of metals in the definition of "machinery". This will have the effect of expanding the scope of Act 139 to include such items.

5. *Clause 4* seeks to provide for the delegation of powers or duties by the Chief Inspector to any of the Deputy Chief Inspector, Senior Inspector or Inspector.

6. *Clause 5* seeks to amend section 6 of Act 139 to deem a licensed person, his servants and agents to be public servants within the meaning of the Penal Code.

7. *Clause 6* seeks to introduce new sections 7A, 7B, 7C, 7D, 7E and 7F into Act 139. The new sections 7A, 7B and 7c deal with the power of the inspector to enter premises with or without a search warrant and the power of seizure while the new section 7D deals with the appointment, power and duties of a licensed person. The new section 7E provides for the revocation of licence if a licensed person breaches any condition of the licence and section 7F allows the Minister to grant a new licence upon such revocation.

8. *Clause 7* seeks to amend section 8 of Act 139 to widen the scope of the offence of obstruction to include the obstruction of a licensed person and to enhance the existing maximum fine which can be imposed from five thousand ringgit to two hundred thousand ringgit.

9. *Clause 8* seeks to amend section 9 of Act 139 to prohibit the disclosure of manufacturing or commercial secret obtained in the course of duty, except under certain circumstances.

10. *Clause 9* seeks to introduce new subsection 19(4) into Act 139 to provide for termination of the certificate of fitness of any machinery which is being dismantled or repaired or damaged.

11. *Clause 10* seeks to introduce a new section 19A into Act 139. The proposed section seeks to empower the Chief Inspector to revoke any certificate of fitness obtain by way of fraud or misrepresentation.

12. *Clause 12* seeks to introduce anew section 29A into Act 139. The proposed section prohibits the manufacture, testing, installation or repair of any machinery which is prescribed unless there is a written authority issued by the Chief Inspector.

13. *Clause 13* seeks to amend section 31 of Act 139 to require an accident or dangerous occurrence which causes serious bodily injury to be reported to the Inspector having jurisdiction for the area in which the accident or dangerous occurrence takes place.

14. *Clause 14* seeks to amend section 32 of Act 139 to replace the term "industrial diseases" with the term "occupational diseases" since the latter is the more appropriate term now.

15. *Clause 15* seeks to amend section 33 of Act 139 so that preliminary investigation is required only in cases where an accident has caused loss of life to any person or serious damage to machinery or other property.

16. *Clause 16* seeks to amend section 36 of Act 139 to require a written notice to be served on an Inspector or a licensed person whenever any machinery in respect of which a certificate of fitness is prescribed is installed and the Inspector or the licensed person will make an inspection of the machinery. If upon inspection, certificate of fitness is refused, the aggrieved person may appeal to the Chief Inspector for a re-inspection.

17. *Clause 17* seeks to amend section 37 of Act 139 to require any person who is in possession of any machinery in respect of which a certificate of fitness is prescribed to send particulars relating to the machinery to a licensed person, apart from an Inspector.

18. *Clause 18* proposes a new subsection 38(4) which gives a licensed person access to information in the general register or other register pertaining to machinery in respect of which a certificate of fitness is prescribed.

19. *Clause 19* seeks to amend section 40 of Act 139 to empower a licensed person to inspect machinery in respect of which a certificate of fitness is prescribed. This *clause* also proposes a new subsection 40(2A) which requires the occupier of a factory to provide an Inspector and a licensed person all reasonable facilities for the inspection and testing of machinery which is in the occupier's possession.

20. *Clause 20* seeks to amend subsection 41(1) of Act 139 to allow appeals to be made from the decision of a licensed person, and to introduce a new paragraph *4l(4)(da)* to provide for the finality of the decision of the Board of Appeal.

21. *Clause 21* seeks to amend section 44 of Act 139 to require that notice under subsections 44(1) and 44(2) shall also be given to a licensed person.

22. *Clause 22* seeks to introduce a new section 47A into Act 139 to provide for protection to an Inspector and a licensed person against personal liability for any loss or damage caused when carrying out their duties, unless it was caused intentionally or through recklessness or negligence.

23. *Clause 23* seeks to amend section 48 of Act 139 so that a licensed person will be able to recover any fees payable to him as a debt due to him.

24. *Clause 24* seeks to amend section 51 of Act 139 to enhance the existing maximum fines in subsections 51(1), (2) and (3). This *clause* also proposes a new subsection 51(4) which makes the failure to comply with any written order or notice under subsection 39(3) or 40(4) of the Act an offence.

25. *Clause 25* seeks to introduce a new section 51A into Act 139 to empower a Court of a First Class Magistrate to have jurisdiction to try and impose the full punishment for any offence under the Act.

26. *Clause 26* seeks to amend section 52 of Act 139 on the institution of prosecution under the Act so that it is in line with Article 145 of the Federal Constitution.

27. *Clause 27* seeks to amend section 52A of Act 139 to spell out the procedure for the compounding of offences under the Act.

28. *Clause 29* seeks to amend section 56 of Act 139 which deals with the power of the Minister to make regulations.

29. Other amendments not specifically referred to in this Statement are minor and consequential in nature.

FINANCIAL IMPLICATIONS

This Bill will not involve the Government in any extra financial expenditure.

[PN(U^2)2268]